

Mercedes-Benz Group (MBGGR)

Cash generation faces H2 headwinds

Although Q2 was supported by strong contributions from Vans, FS and DTRGR stake monetisations, group revenues guidance was cut, MB Cars Ad. EBIT margin is now seen at the low end of the FY26 guidance, and we expect FCF to similarly trend at the lower end. We reiterate our UW rating.

Moody's/S&P/Fitch rating: A2 Stable/A Negative/NR

Barclays rating: Underweight — reiterated

Q2 26 results snapshot and key conference call takeaways

Q2 26 results

Mercedes reported Q2 results broadly in line with expectations, with FY26 profitability and free cash flow guidance maintained, despite reducing FY26 revenues guidance to reflect a more challenging China market and higher macroeconomic uncertainty. Group revenue declined 3% y/y to €32.1bn, while reported EBIT increased 21.5% y/y to €1.55bn due to non-operating items (adjusted EBIT rose 16% y/y to €2.3bn). Group EBIT was supported by strong earnings at Mercedes-Benz Financial Services, Mercedes-Benz Vans and higher contributions from the Group reconciliation, partly offset by lower earnings at Mercedes-Benz Cars. Group EBIT also included a positive effect of €131mn related to the planned sale of Athlon Group. Following dividend payments and share repurchases totalling €5bn in H1 26, net liquidity of the industrial business remained solid at €30.4bn (end 2025 at €32.2bn), while the funding ratio of the pension plans improved to 117% from 113% at year-end 2025.

Free cash flow of the industrial business amounted to €1.1bn, down 41% y/y from €1.9bn in Q2 25, supported by proceeds from the partial monetisation of the Daimler Truck stake. For H1 26, industrial free cash flow totalled €3.0bn, down from €4.2bn in the prior year period, reflecting approximately €1.1bn of cash outflows related to restructuring and severance payments under the Next Level Performance programme. Mercedes generated €417mn of proceeds from Daimler Truck stake disposals in Q2 and disclosed a further €600mn sell-down in July. Management indicated in the Q2 call that additional monetisations remain possible depending on market conditions, although no further disposals are assumed in current FY26 FCF guidance.

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Despite returning €5.0bn to shareholders in H1 26 through dividends and share buybacks (€3.3bn dividend + €1.7bn buybacks), Mercedes maintained a strong net industrial liquidity position of €30.4bn at the end of June 2026, compared with €32.2bn at year-end 2025. The balance sheet remains robust and provides substantial financial flexibility to fund restructuring initiatives and the ongoing product offensive, while maintaining significant shareholder distributions. However, we do not view the continued pace of shareholder distributions as credit positive. Management indicated total FY26 distributions could reach approximately €6bn, having already returned €5bn in H1 26 and announced a further €1bn share buyback programme to be launched in Q3. In our view, such capital returns appear increasingly aggressive given the challenging macroeconomic backdrop, weaker profitability in China and growing earnings pressure across the automotive business.

At a divisional level, Mercedes-Benz Cars reported adjusted EBIT of €909mn (-26% y/y) and a margin of 4.0%, within the 3-5% FY26 guidance range. Q2 vehicle sales declined 8% y/y to 418k units, mainly reflecting continued weakness in China (-30% y/y), partly offset by strong growth in Europe (+4%) and North America (+13%). The year-on-year development reflected intensified market pressure, especially in China, a less favourable model mix, product lifecycle measures and launch-campaign-related costs, partly offset by continued efficiency gains. Management highlighted strong momentum for the new BEV portfolio, with BEV sales up 51% y/y and H2 order books particularly strong in Europe. Mercedes-Benz Vans delivered adjusted EBIT of €454mn (+3% y/y) and a 10.2% adjusted margin, above the top end of the 8-10% full-year guidance range. Mercedes-Benz Financial Services remained a standout performer, reporting adjusted EBIT of €492mn (+70% y/y) and an adjusted ROE of 15.3%, supported by higher portfolio margins, lower credit losses and efficiency gains. Total contract volume stood at €131.6bn as of 30 June, up 2.2% compared with year-end 2025.

FY26 guidance: Revenue guidance reduced; Financial Services upgraded; all other key targets maintained

- **Mercedes-Benz Cars unit sales guidance was reduced** from "at the prior-year level" to "slightly below" FY25, reflecting continued weakness in China.
- **Group revenue guidance is reduced** and is now expected to be slightly below FY25 levels (previously "at the prior-year level"), reflecting weaker-than-expected Mercedes-Benz Cars sales, primarily due to China.
- **Mercedes-Benz Cars adjusted EBIT margin guidance of 3-5% (FY25: 5.0%) was confirmed**, although management now expects FY26 performance to land in the **lower half of the range**.
- **Mercedes-Benz Cars increased its FY26 xEV share target to 23-25% (previously 21-23%)** reflecting strong momentum from the new BEV portfolio and expected H2 ramp-up.
- **Mercedes-Benz Financial Services raised its FY26 adjusted ROE guidance to 12-14% (previously 10-12%)**, driven by a stronger portfolio margin and solid H1 performance.
- **Industrial free cash flow guidance was confirmed** at "slightly below prior-year level". Based on Mercedes' guidance framework, this implies a decline of 10-25% y/y, equating to approximately €4.0-4.9bn versus €5.4bn in FY25.
- **Net industrial liquidity is still expected to remain broadly flat year-end 2026 versus year-end 2025**, around €32bn, supported by free cash flow generation, Daimler Truck stake monetisations and the planned Athlon disposal despite ongoing shareholder distributions. While management did not explicitly reiterate the €32bn target on the Q2 call, nothing in the updated guidance suggests a change to this objective.

Key conference call takeaways

China outlook has deteriorated further but management remains strategically committed.

Management recorded €844mn of valuation adjustments related to China investments, including €752mn of impairments on Chinese equity-accounted holdings. While non-cash, management acknowledged these reflect lower expected future profit contributions from China. Nevertheless, the company reiterated its long-term commitment to China, emphasising increased localisation, deeper partnerships, expanded R&D capabilities and local production of the China-specific GLE beginning in August. Management stressed that China remains a strategic pillar despite significantly lower industry demand and intense pricing pressure.

H2 MB Cars margins are expected to be weaker than H1 despite strong product momentum.

Management reiterated that Mercedes-Benz Cars' FY26 adjusted margin should remain within the 3-5% range but now expects performance to finish in the lower half of the corridor. While new model launches, stronger BEV demand, improved mix and lower product lifecycle expenses should support H2, these benefits are expected to be more than offset by higher raw material, energy and freight costs, increased depreciation from the launch programme, normalisation of tariff impacts versus Q1, and weaker contributions from Chinese JVs and parts supply activities. While management did not provide a specific raw material cost assumption, it appeared to endorse analyst estimates implying a headwind of roughly 100bp to MB Cars profitability in H2. Efficiency measures are therefore being accelerated further in the second half.

Cost-reduction efforts remain a major strategic focus. Mercedes launched a new productivity initiative focused on Germany, aimed at reducing labour costs, streamlining processes and improving competitiveness versus Chinese manufacturers. Management indicated that Hungary, Romania and Poland will play an increasingly important role in lowering the weighted-average manufacturing cost base, while negotiations continue in Germany regarding working practices, compensation and productivity improvements. Successful execution could support medium-term margin resilience and cash generation.

FCF guidance remains well supported despite lower organic cash generation expectations.

Management confirmed FY26 industrial FCF guidance despite acknowledging softer profitability from MB Cars and higher China headwinds. The original €6bn cash generation framework remains achievable, although the mix is now expected to shift towards greater M&A contributions and lower organic cash generation. H1 industrial FCF of €3.0bn already includes €1.1bn of restructuring cash outflows. Additional H2 support should come from further Daimler Truck stake disposals and the planned Athlon disposal, although Athlon proceeds are not included in FCF guidance.

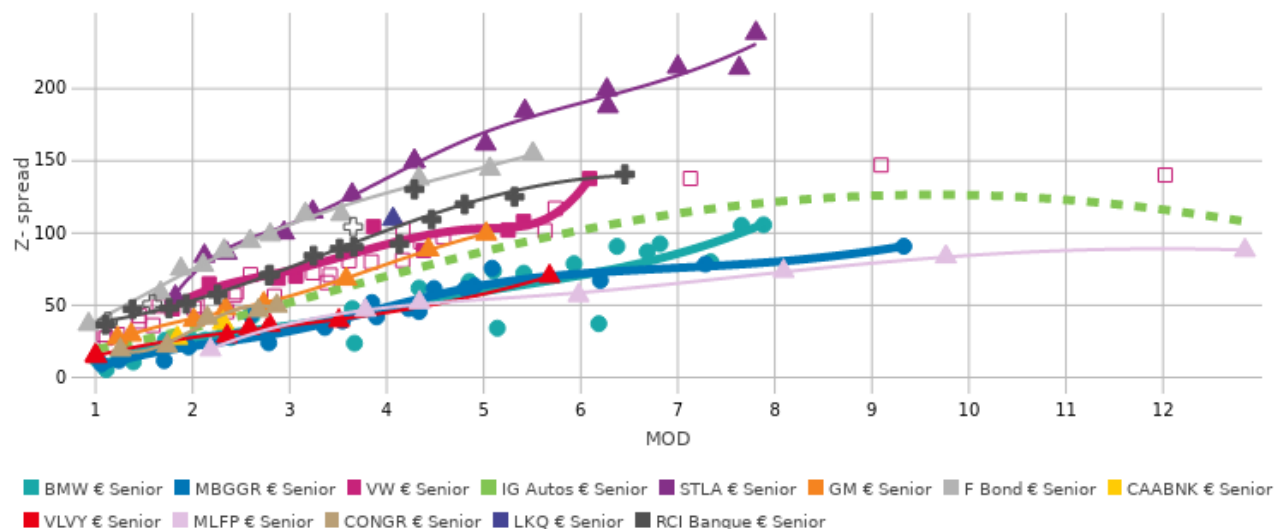
US regulatory and tariff risks remain points to watch. Management stated that it continues to monitor both **USMCA developments and potential US connected vehicle legislation**. No decision has been made regarding local engine production in North America, although this remains under consideration depending on future USMCA requirements. Management also reiterated that FY26 guidance assumes the current tariff framework remains unchanged. Potential changes to US trade policy therefore remain a risk to margins and earnings visibility. With regards to the **US Connected Vehicle Act**, management stressed that its two Chinese shareholders do not act in concert and are not represented on the board. While the regulatory outcome remains uncertain, Mercedes stated it would take any necessary steps to comply with future requirements and safeguard its US business.

Relative value - Underweight

From a credit perspective, the balance sheet remains strong, with €30.4bn of net industrial liquidity after €5bn of shareholder distributions in H1. However, management expects H2 Cars profitability to be weaker than H1 due to higher raw material, energy and freight costs, increased depreciation, tariff normalisation and lower China contributions. The €844mn China-related impairment also highlights deteriorating earnings expectations from the region. While liquidity remains robust and management reiterated its industrial FCF guidance, commentary suggests FY26 cash generation could trend toward the lower end of the guided range, with management indicating somewhat lower organic cash flow offset by higher M&A contributions. In addition, we do not view the continued pace of shareholder distributions, including the newly announced €1bn buyback, as credit positive given the weaker earnings outlook, challenging macro backdrop and ongoing pressure in China.

In this context, the group's ratings (**A2 Stable / A- Negative / NR**) appear weakly positioned within their respective categories. **S&P's Negative Outlook** reflects its expectation that Mercedes' credit metrics are likely to remain below levels commensurate with the current rating over the next 12-24 months, owing to weaker profitability, pressure from China and an elevated shareholder remuneration policy. **Moody's has similarly indicated that the A2 rating is weakly positioned**, although it continues to be supported by the group's sizeable net industrial liquidity position, strong cash generation capacity and conservative balance sheet. **Against a backdrop of weakening earnings visibility, lower China profit contributions, increasing execution risk around the product offensive and continued aggressive capital returns, we do not believe these risks are adequately reflected in current valuation levels and therefore reiterate our UW rating on the group.**

FIGURE 1. € MBGGR vs. IG Auto peers



[Open in Barclays Live Chart](#)

Note: VW bank Senior Pref Notes (A- index rating) are highlighted in pink and VW Seniors (BBB+ index rating) are not highlighted. RCI Banque Notes (BBB- index rating) are highlighted in grey and Renault SA notes (BB+ index rating) are not highlighted.

Source: **Credit** - Barclays Trading, S&P Global Market Intelligence

Summary of Ratings

Bloomberg Pan-European Credit Index

	Old	New
European HG Automotive	Underweight	Underweight

MERCEDES-BENZ FINANCE NORTH AMERICA LLC

Underweight

Underweight

Source: Barclays Research

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Risks that May Impede Achievement of the Rating: Upside risk: If the market environment improves faster than expected and translate into rising operating margins, and headwinds recede, resulting in positive rating momentum.

Representative Bond: MBGGR 1 1/2 07/03/29 (EUR 95.27, 27-Jul-2026)

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